Task 7

Question A

Portugal's GDP per capita grew slowly between 1900 and 1950 (from 1,997 to 3,869), reflecting an overwhelmingly agrarian economy (1900: "one of poorest Western European countries", illiteracy above 70%), compounded by one state bankruptcies (1902), the 1910 collapse of the monarchy, and "rotating governments" through the 1920s. The 1926 military coup and Estado Novo (1933) imposed fiscal austerity and state-controlled industrial licensing (Condicionamento Industrial, 1931), which stabilized public finances but constrained growth. Growth accelerated sharply from 1950 onward, peaking in the 1960-1970 decade (+72.2%). This period coincides with Portugal's EFTA membership (1960) and the first moment industry surpassed agriculture in GDP contribution (1960) Growth slowed sharply after 2000 (+24.8% in 2000, down to just +4.9% from 2010 and +6.6% in 2020), as economic stagnation set in from 2003. The 2008 global financial crisis, the 2010-2011 sovereign debt crisis (fiscal deficit ~11% of GDP), and the 2011 Troika bailout (€78 billion, severe austerity) explain the weakest decade of growth in the dataset (2000-2010, +4.9%).

Question B

Throughout the 20th and early 21st centuries, Portugal consistently lagged behind Spain, France, Germany, Belgium and Italy in GDP per capita, although the gap narrowed considerably over time. For instance, Portugal's GDP per capita increased from 71.9% of Spain's level in 1900 to 91.2% in 1980, reflecting significant economic catch-up. The strongest improvements occurred between 1960 and 1990, coinciding with industrialization, EFTA membership (1960), the democratic transition (1974) and EEC accession (1986). Ireland followed a different trajectory: Portugal converged towards Irish GDP per capita until 1980 (93.5%), before diverging sharply, reaching only 47.4% by 2020. Greece remained Portugal's closest comparator, with Portugal occasionally surpassing Greek GDP per capita, particularly in 1940 (117.7%), 1990 (111.8%) and 2020 (115.6%). After 2000, Portugal experienced renewed divergence from several Western European economies, particularly Germany and Ireland, although its relative position improved against Italy and Greece. By 2020, a partial recovery was visible, but Portugal remained below most of its Western European counterparts.

Question C

Portugal experienced substantial but uneven convergence with Western Europe throughout the 20th century, with the strongest and most widespread catch-up occurring between 1960 and 1990. During this period, Portugal's GDP per capita relative to France increased from 43.4% to 66.2%, relative to Germany from 43.8% to 68.2%, and relative to Belgium from 46.7% to 66.5%. This convergence coincided with major economic and institutional transformations, including EFTA membership (1960), the 1974 Carnation Revolution and EEC accession in 1986, which facilitated European integration and access to structural and cohesion funds. A further period of convergence occurred during the 1990s relative to France, Belgium and Italy, coinciding with preparations for euro adoption in 1999 (followed by the introduction of euro notes and coins in 2002). However, this trend was not uniform, as Portugal had already begun diverging from Spain, Germany and Ireland by 2000. After 2000, convergence largely reversed relative to several major Western European economies, particularly Germany and Ireland, coinciding with economic stagnation, the 2008 financial crisis and the subsequent 2011 Troika bailout. A modest recovery is visible by 2020, although Portugal had not regained its previous relative peaks against several comparison countries. Overall, the results suggest that

1960–1990 was Portugal's strongest period of generalized convergence with Western Europe, followed by a more uneven trajectory and renewed divergence from several economies after 2000.

Question D

In 1990, shortly after the fall of communism, Portugal's GDP per capita was dramatically higher than all seven post communist comparison countries: more than triple Romania's (337.8%) and roughly double Poland's, Hungary's and the Baltic countries. However, these countries converged with Portugal remarkably fast over the following three decades. By 2020, Czechia had overtaken Portugal (87.0%, meaning Portugal was now below Czechia), and Hungary, Lithuania were near parity (97.8% and 90.5% respectively), while Poland (89.2%) closed the gap almost entirely. Only Romania remained further behind, though still converging sharply from 337.8% in 1990 to 106.1% in 2020 essentially reaching parity with Portugal. This rapid convergence reflects the post-communist transition reforms of the 1990s and, critically, EU accession (Poland, Czechia, Hungary, the Baltic states in 2004; Romania in 2007), which brought access to the single market, structural funds, and foreign investment. In relative terms, Portugal's three-decade stagnation after 2000 contrasted with these countries rapid post-transition growth meant the gap that once separated Western and Eastern Europe narrowed dramatically, with several Central/Eastern European and Baltic economies now matching or exceeding Portugal's income level.